

# Employing in Egypt

What You Need to Know · Employment Hero HeroForce EOR · July 2026

## What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the new Labour Law No. 14 of 2025
- **Monthly payroll** — salary payments in EGP, itemised payslips
- **Tax withholding** — progressive income tax withheld and remitted monthly
- **Social insurance (NOSI)** — pension, health and unemployment contribution administration
- **Leave and termination management** — notice periods and entitlements guidance

## Employment Conditions

### Contracts & Probation

Egypt's Labour Law No. 14 of 2025 replaced the prior 2003 law and introduced several employer-facing changes, including a revised training fund contribution formula and a 1-month deadline to register new hires with the National Organization for Social Insurance (NOSI).

| Item                                       | Detail                                                                           | Legal Basis               |
|--------------------------------------------|----------------------------------------------------------------------------------|---------------------------|
| NOSI registration deadline                 | Within 1 month of hiring (Form S1)                                               | Labour Law No. 14 of 2025 |
| Probation period                           | Maximum 3 months                                                                 | Labour Law No. 14 of 2025 |
| Training fund contribution (30+ employees) | 0.25% of the minimum social insurance wage per employee (min EGP 10, max EGP 30) | Labour Law No. 14 of 2025 |

### Working Hours & Overtime

| Rule                     | Detail                 | Authority                 |
|--------------------------|------------------------|---------------------------|
| Standard hours           | 8 hrs/day, 48 hrs/week | Labour Law No. 14 of 2025 |
| Overtime premium (day)   | 135% of hourly rate    | Labour Law No. 14 of 2025 |
| Overtime premium (night) | 170% of hourly rate    | Labour Law No. 14 of 2025 |

## Minimum Wage & Social Insurance (2026)

| Measure                                | Rate                         | Notes                                                                                                |
|----------------------------------------|------------------------------|------------------------------------------------------------------------------------------------------|
| National minimum wage                  | EGP 7,000/month              | Set by the National Wages Council                                                                    |
| Minimum insurable wage                 | EGP 2,700/month              | Effective 1 January 2026; both caps rise 15%/year through 2027                                       |
| Maximum insurable wage                 | EGP 16,700/month             | Employer social insurance contributions do not increase above this level                             |
| Employer social insurance contribution | 18.75% of the insurance wage | Capped at EGP 3,131/month regardless of actual salary — a distinctive feature of the Egyptian system |

## Leave Entitlements

| Leave Type      | Entitlement                                                   | Who Pays                               | Key Condition                  |
|-----------------|---------------------------------------------------------------|----------------------------------------|--------------------------------|
| Annual Leave    | 21 days/year (rising to 30 after 10 years' service or age 50) | Employer                               | Labour Law No. 14 of 2025      |
| Sick Leave      | Up to 180 days/year on a sliding pay scale (75%–85% via NOSI) | NOSI                                   | Requires a medical certificate |
| Maternity Leave | 4 months (available for up to 3 pregnancies)                  | NOSI (partial), employer top-up common | Job-protected                  |

#### ★ HERO TIP

Egypt's employer social insurance contribution is capped at a flat EGP 3,131/month regardless of how much the employee earns — a developer on EGP 18,000/month and one on EGP 80,000/month cost the employer exactly the same in social insurance. This makes Egypt notably cost-efficient for higher-salaried professional roles compared to uncapped systems elsewhere.

## Payroll, Tax & Contributions

### Total Cost Example — USD \$3,000 Gross Monthly Salary

| Cost Item                                              | Amount (USD)       | % of Gross     |
|--------------------------------------------------------|--------------------|----------------|
| Gross salary                                           | \$3,000.00         | 100%           |
| Employer social insurance (capped at ~EGP 3,131/month) | \$64.00            | 2.13%          |
| EOR service fee (HeroForce, Tier 2)                    | \$600.00           | 20.00%         |
| <b>Estimated total monthly cost</b>                    | <b>~\$3,664.00</b> | <b>~122.1%</b> |

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. Because social insurance is capped in absolute EGP terms, its USD equivalent (and % of gross) will vary with the EGP/USD exchange rate at the time of payroll. Employee deductions (withheld separately) include the employee-side social insurance share (~11% of the insurance wage, also capped) and progressive income tax.

Income Tax

Egypt applies progressive income tax rates with a tax-free threshold that was raised in 2026, reducing the tax burden for lower and middle-income earners.

Termination & Separation

Notice periods under Labour Law No. 14 of 2025 scale with length of service (commonly 2 months under 10 years, 3 months for 10+ years). Termination without just cause generally entitles the employee to compensation, with amounts assessed by the labour courts based on tenure and circumstances where not otherwise fixed by contract.

Public Holidays 2026 (Illustrative)

| Date         | Holiday                               | Type                        |
|--------------|---------------------------------------|-----------------------------|
| 7 January    | Coptic Christmas                      | National                    |
| 25 January   | Revolution Day                        | National                    |
| ~April       | Sham El-Nessim (Coptic Easter Monday) | National (Coptic calendar)  |
| 25 April     | Sinai Liberation Day                  | National                    |
| 1 May        | Labour Day                            | National                    |
| ~March/April | Eid al-Fitr (multi-day)               | National (Islamic calendar) |
| 23 July      | Revolution Day                        | National                    |
| ~May/June    | Eid al-Adha (multi-day)               | National (Islamic calendar) |
| 6 October    | Armed Forces Day                      | National                    |

Islamic calendar holidays (Eid al-Fitr, Eid al-Adha) shift roughly 10–11 days earlier each Gregorian year and are confirmed closer to the date based on moon-sighting.

Ready to hire in Egypt?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries. Onboard your first Egypt employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).